Maven Toys: Product diversity

Examining Profitability Structure to Identify Untapped Sales Potential

By Yair Shtrasler & Daniel Meyshar

Database Overview

Analyzed Data:

- Sales & Product Data: Transactions, quantities, prices.
- Key Metric: net profitability

Database content:

- Maven Toys: Mexican toy retail chain.
- Detailed info across categories: sales, products, stores.

Objectives

Analyze Profitability vs. Sales

Analyze profitability vs. sales across product categories.

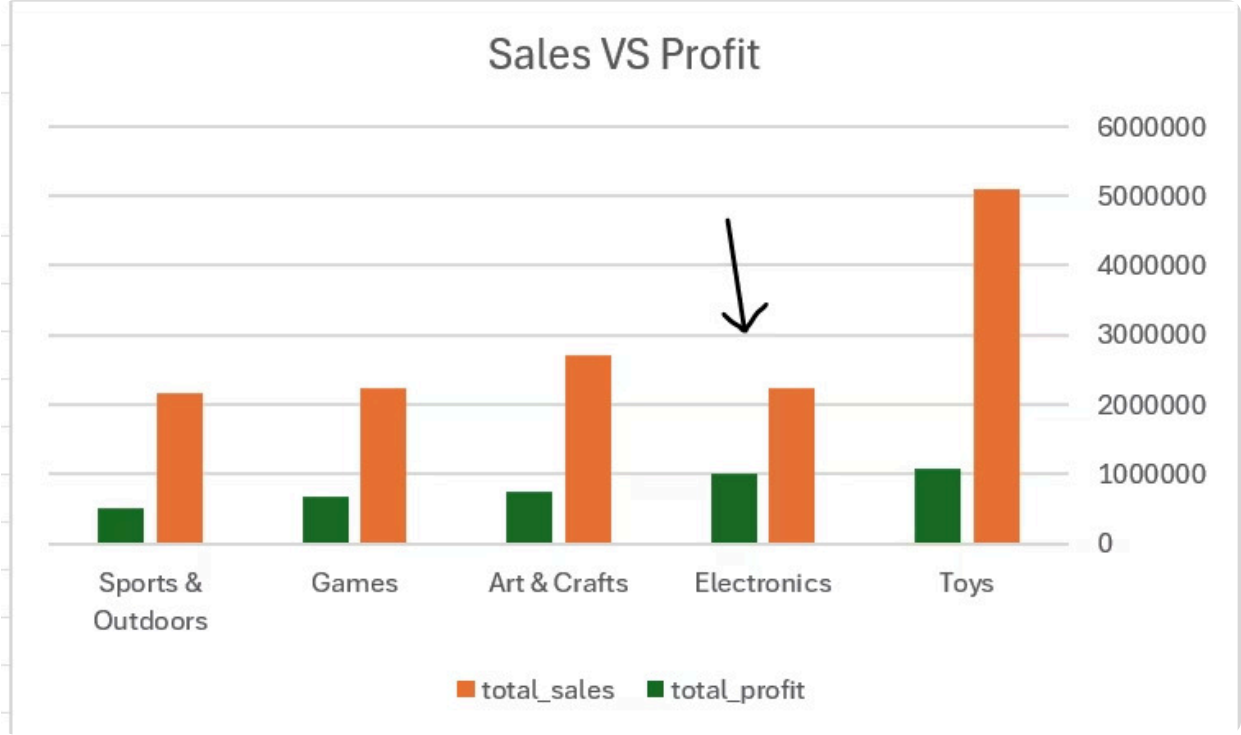
Explore untapped potential

Explore opportunities for product mix diversification to maximize profit.

Questions

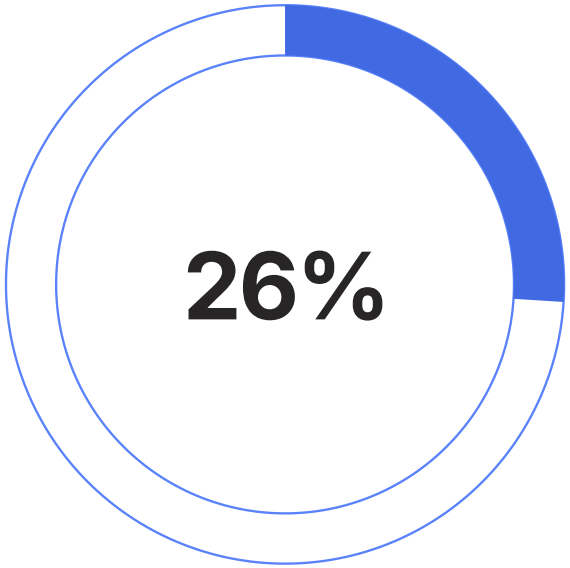
- What is the company's current sales/profit structure?
- How much do low-priced products contribute to overall profit?
- Can adding low-priced items increase profitability?

Overall Profitability vs. Sales

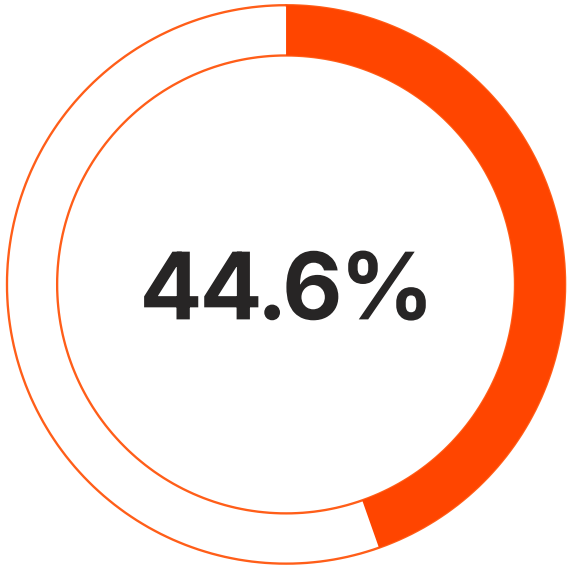


Electronics: 2nd in profitability *but* 3rd in sales (and last in units sold)

Electronics: % profit of revenue

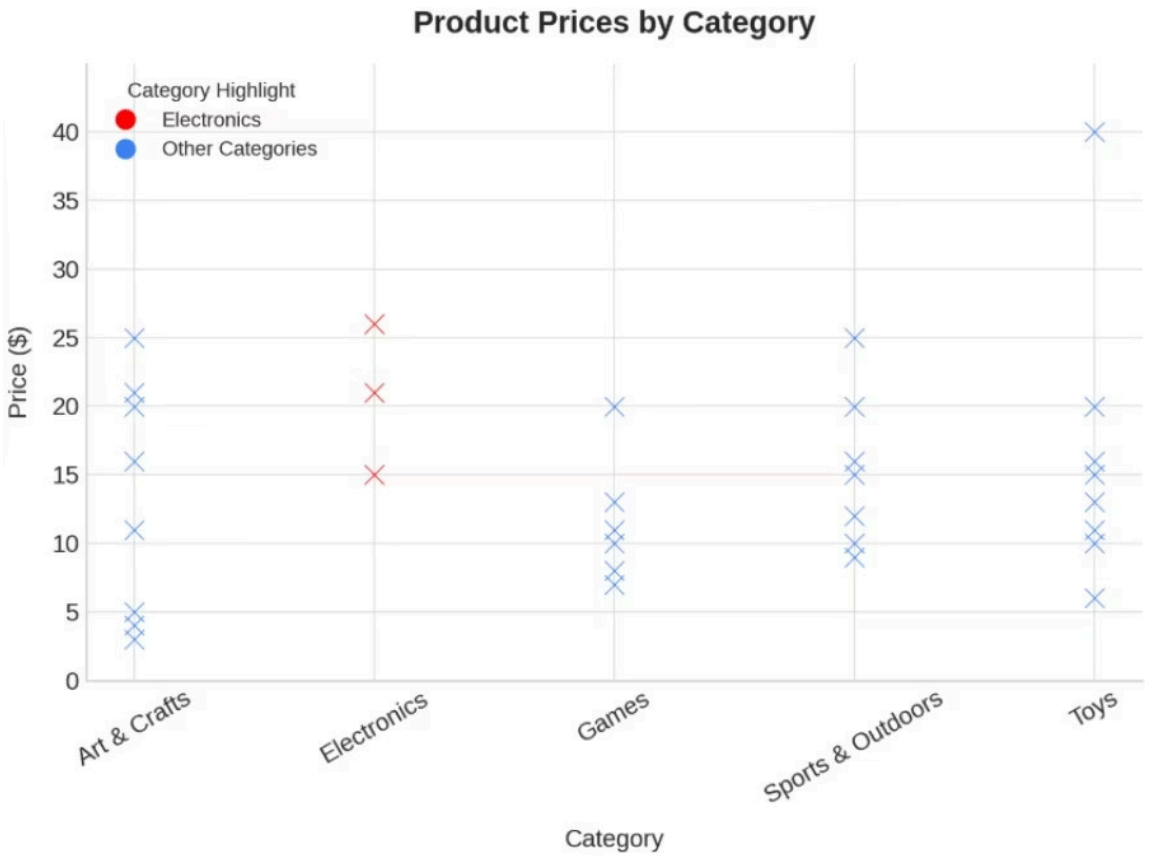


All categories average

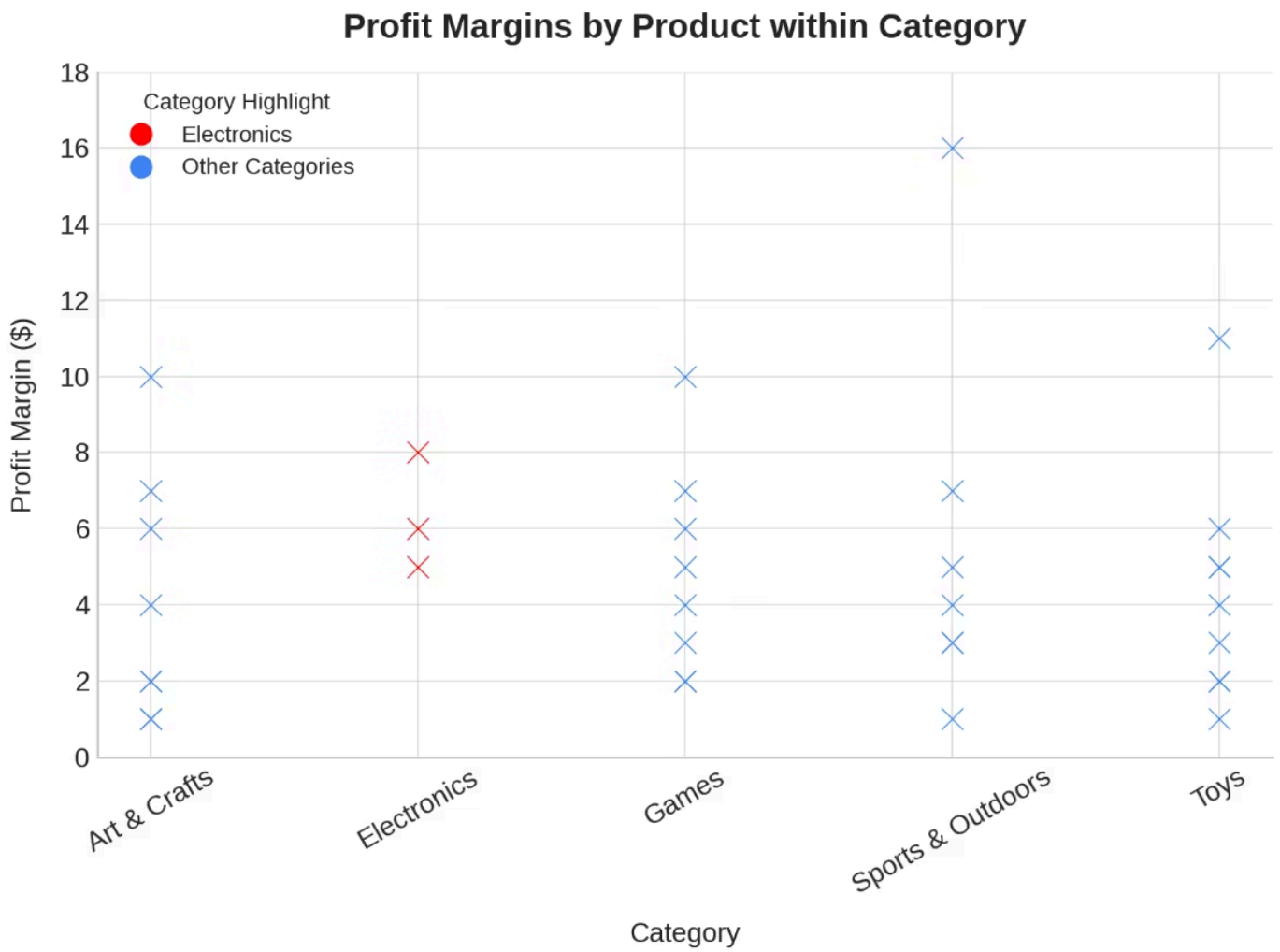


Electronics

Price diversity



Profit margin diversity



Electronics Category Analysis

The Electronics category at Maven Toys presents a unique profile requiring careful examination:

High Profitability

Ranked 2nd in overall profitability despite relatively low sales.

Medium Sales Volume

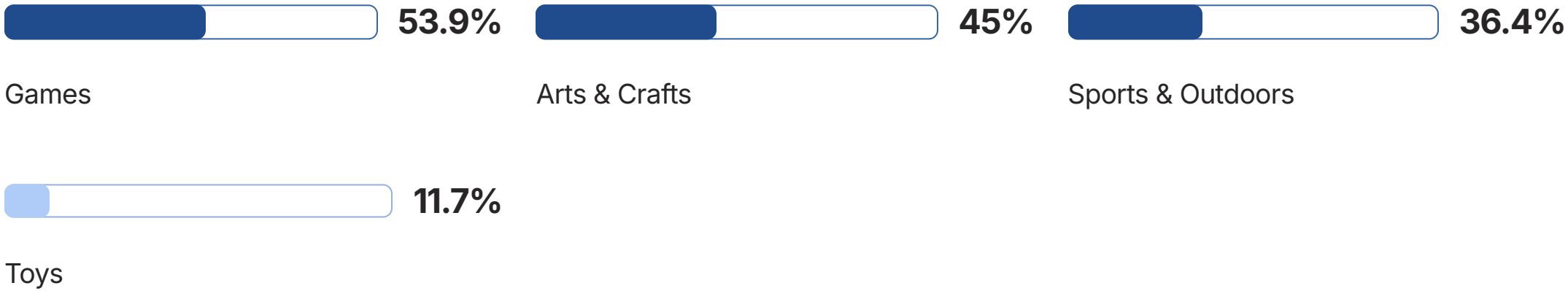
3rd place in sales and last place in units sold.

Premium Products

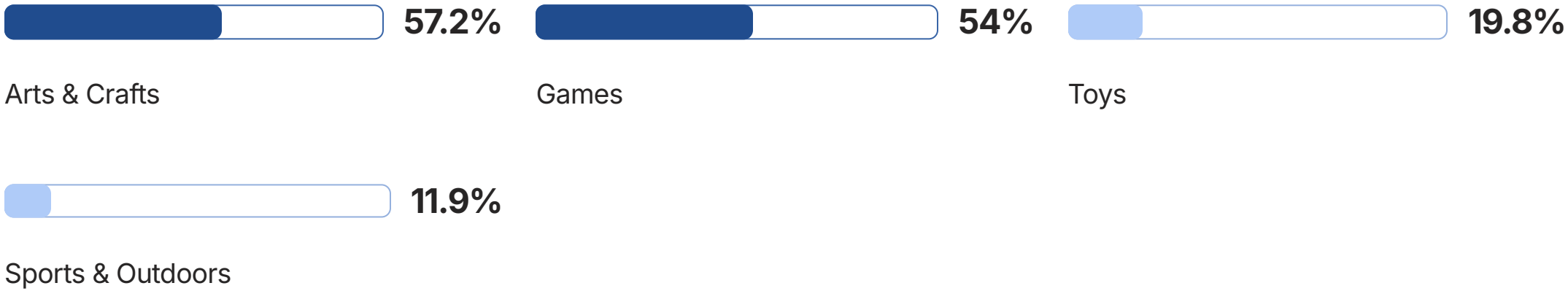
High average price per unit

Are low-priced products even worth it?

Low-Price Items (By median) as Key Profit Drivers in some categories



Low-Profit-margin Items (By median) as Key Profit Drivers in some categories



Key Insights

Electronics are highly profitable but lack price range diversity.

Expanding lower-priced offerings could reveal untapped potential.

Low-priced products significantly boost profit in other categories.

Action point

Expanding the Electronics Category

- Diversify the Electronics category by introducing products priced roughly between $5 and $14, with a profit margin above 30% (Avg profit-margin).